3. (SBU) Given the increased attention to Haiti, investors are giving consideration not only to build more factories but also to create more jobs by supporting infrastructure, such as electricity and water, needed to sustain the industrial parks and free trade zones that would house these factories in Port-au-Prince, as well as other potential industrial hubs, including Cap Haitien in the north. Representatives from high-volume customers, such as Gap Inc. in Korea, are visiting Haiti to explore expansion plans that originated before the earthquake. The World Bank and IMF are conducting port assessments specifically with respect to capacity to handle shipping containers for garments.

4. (SBU) Comment: The apparel manufacturers in Haiti operate on a high volume, thin margin, low capitalization basis where cash flow is extremely important for the business to survive. Industry representatives have told us that the garment sector would greatly benefit from a “soft loan” fund of USD 20 million for their immediate working capital cash needs, granting concessionary loans with an extended grace period and affordable interest rates to enable manufacturers to operate at full capacity as soon as possible, retain the 28,000 workers already employed, and expand production to benefit under the special trade provisions of the HOPE II Act. Combined with other USG initiatives bolstering the garment sector, such a loan would send a positive signal to U.S. retailers and producers in Haiti and the Caribbean, and should also send an encouraging message to the more than 25,000 Haitian factory workers who rely on garment factory jobs to provide for themselves and their families. End comment.